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Attorney for Taxpayer-Appellant CATHERINE K. COBB, NOW KNOWN AS CATHERINE PARRY

TAX APPEAL COURT
OF THE STATE OF HAWAII

CATHERINE K. COBB, NOW KNOWN AS CATHERINE PARRY, Taxpayer-Appellant.	CASE NO. 1CTX-21-0000001 **NOTICE OF APPEAL TO TAX APPEAL COURT**

Pursuant to Sections 232-16, 235-64, 235-114, 237-41.5 and 237-42, Hawaii Revised Statutes, and other applicable law, Taxpayer-Appellant CATHERINE K. COBB, NOW KNOWN AS CATHERINE PARRY, appeals from the Final Notice of Personal Liability for General Excise Tax dated December 22, 2020, a redacted copy of which is attached hereto as Exhibit A, and the Notice of Final Assessment of Withholding Tax dated December 22, 2020, a redacted copy of which is attached hereto as Exhibit B (collectively the "Notices"). In support of this appeal, Taxpayer-Appellant submits the following information:

I. TAXPAYER'S NAME, ID AND ADDRESS

CATHERINE K. COBB, NOW KNOWN AS CATHERINE PARRY Tax ID No. xxx-xx-8969 110 Rosebrook Street Henderson, TX 75654-3726

II. REPRESENTATIVE

Ronald I. Heller Phone: (808) 523-6000 Fax: (808) 523-6001 Torkildson Katz Hetherington Harris & Knorek 700 Bishop Street, 15th Floor Honolulu, Hawaii 96813-4187 rheller@torkildson.com

III. TYPE OF TAX AND PERIODS INVOLVED

The assessments in dispute are "responsible person" penalty assessments, purportedly made under HRS Sections 235-64 and 237-41.5, related to Withholding Tax and General Excise Tax due from (or purportedly due from) Kailua Print Shop LLC, for tax periods from the year ended December 31, 2015, to the month ending March 31, 2020, as shown in detail in the Notice attached as Exhibit A.

IV. AMOUNTS IN DISPUTE

The specific amounts are set forth in the Notices, attached hereto as Exhibits A and B. The aggregate amount in dispute may be summarized as follows:

Entity and tax type: Kailua Print Shop LLC, GE Tax; tax years 2015-2020; total amount $79,596.16

Entity and tax type: Kailua Print Shop LLC, Withholding Tax; tax years 2015-2020; total amount $20,967.99

TOTAL: $100,564.15

All amounts are in dispute insofar as the personal and individual liability of Taxpayer-Appellant CATHERINE K. COBB, NOW KNOWN AS CATHERINE PARRY, is concerned.

With respect to the liability of Kailua Print Shop L.L.C., Taxpayer-Appellant CATHERINE K. COBB, NOW KNOWN AS CATHERINE PARRY, reserves the right to challenge whether the amounts purportedly owed by Kailua Print Shop L.L.C. are correct.

V. REASONS FOR DISPUTE

1. The Department has wrongly and unlawfully concluded that CATHERINE K. COBB, NOW KNOWN AS CATHERINE PARRY, personally and individually, is liable for GE Tax due from (or purportedly due from) Kailua Print Shop L.L.C.

2. Upon information and belief, the Taxpayer-Appellant asserts that the Department made its assessment without any actual investigation of the facts or any determination that willful conduct by the Taxpayer-Appellant occurred.

3. Taxpayer-Appellant did not have control over the payment or non-payment of taxes by Kailua Print Shop L.L.C.

4. Taxpayer-Appellant did not willfully fail to pay any tax due from Kailua Print Shop L.L.C.

5. In addition, Taxpayer-Appellant does not agree that Kailua Print Shop L.L.C. ever actually owed any of the Withholding Tax or GE Tax amounts in question.

6. Over $11,788 of the amount purportedly due from Kailua Print Shop L.L.C. consists of penalties related to GE Tax, and over $3,158 of the amount purportedly due from Kailua Print Shop L.L.C. consists of penalties related to Withholding Tax. Taxpayer-Appellant does not admit or concede that the underlying tax assessments against Kailua Print Shop L.L.C. were correctly and properly increased by the application of penalties.

7. Even if Kailua Print Shop L.L.C. owes those penalties – which is not conceded – there is no basis for assessing penalties against CATHERINE K. COBB, NOW KNOWN AS CATHERINE PARRY, personally.

8. Taxpayer-Appellant reserves the right to assert other and further errors by the Department after obtaining further information, through discovery in this action or otherwise.

VI. RELIEF SOUGHT

Taxpayer-Appellant hereby requests that the Court enter Judgment in favor of Taxpayer-Appellant, finding, adjudging, and declaring:

(1) That the Notices dated December 22, 2020 that are the subject of this case are erroneous, contrary to law, and null and void;

(2) That Taxpayer-Appellant, individually, does not owe any tax related to Kailua Print Shop L.L.C. under HRS Section 235-64, HRS Section 237-41.5, or otherwise, for any tax period;

Taxpayer-Appellant further requests that the Court award Taxpayer-Appellant her attorneys' fees and costs, together with such other and further relief as the Court may deem appropriate.

DATED: Honolulu, Hawaii, January 5, 2021

TORKILDSON KATZ HETHERINGTON HARRIS & KNOREK

RONALD I. HELLER
Attorney for Taxpayer-Appellant